

V3 MECHANISM – CONTINUOUS LINEAR SCALING (REPLACES BINARY TIERS)

VIX 15
\$80 invest

VIX 40
\$120 invest

← Saving to reserve

Drawing from reserve →

Every month's investment responds continuously to VIX. Low VIX = save more, deploy less. High VIX = deploy reserve, invest more. Unlike v2's binary thresholds, the strategy is **always active** — no waiting for rare panic events.

IRR WINNER — ANNUALISED RETURN



8.99% IRR (Baseline)
vs 8.53% for the strategy

+0.4609 pp advantage

ANNUALISED IRR 

Baseline Strategy v3

8.99% 8.53%

FINAL PORTFOLIO

Baseline Strategy v3

\$214,162 \$194,416

TOTAL RETURN

Baseline Strategy v3

449.1% 398.5%

MAX DRAWDOWN
LESS NEGATIVE = BETTER

Baseline Strategy v3

-53.2% -48.8%

ANNUALISED VOL
LOWER = BETTER

Baseline Strategy v3

28.7% 27.9%

CASH RESERVE LEFT

Baseline Strategy v3

— \$4,542

AVG VIX SCALE FACTOR

0.2088 / 1.0

AVG MONTHLY DEPLOYED

\$88.35

MONTHS DEPLOYING RESERVE

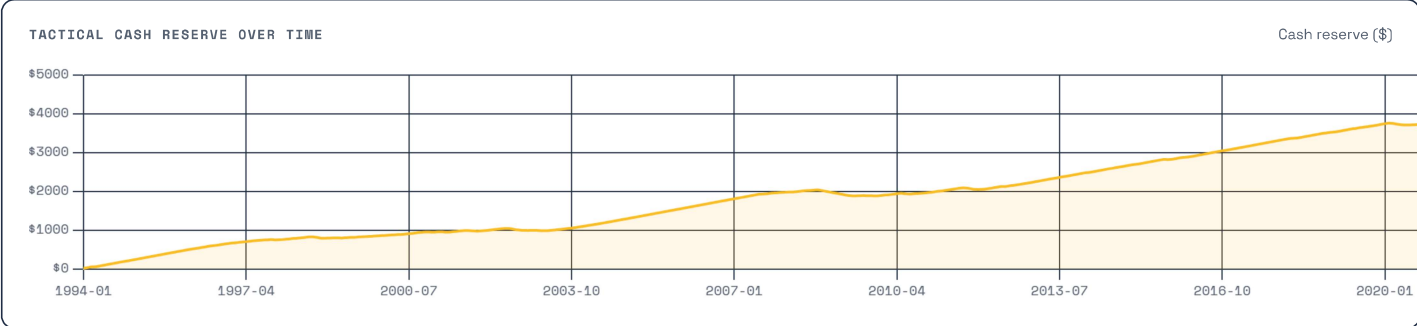
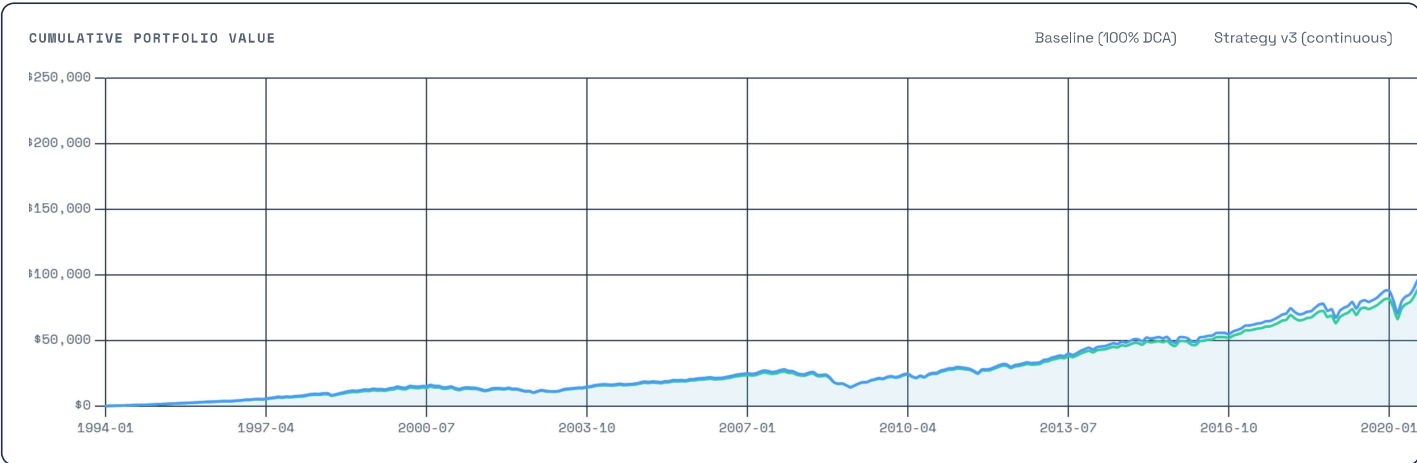
46 months (VIX pulling extra)

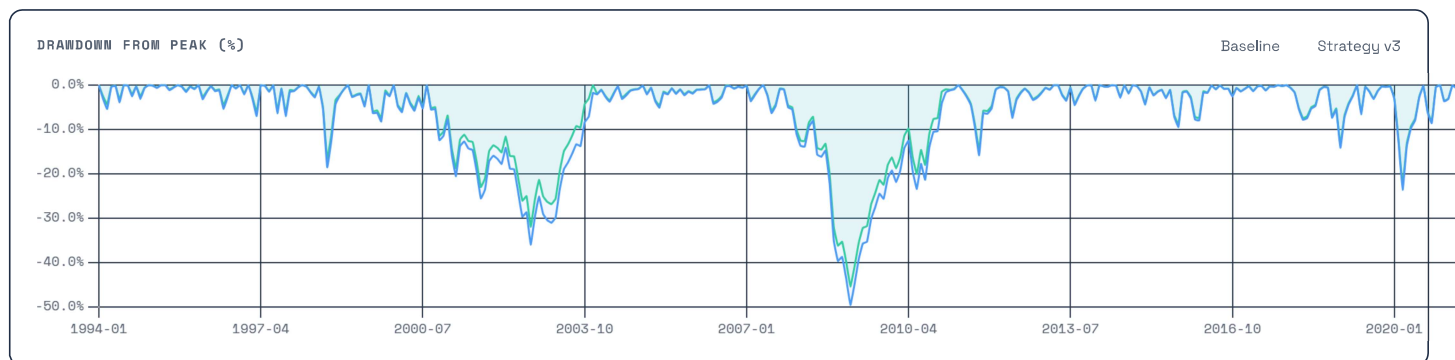
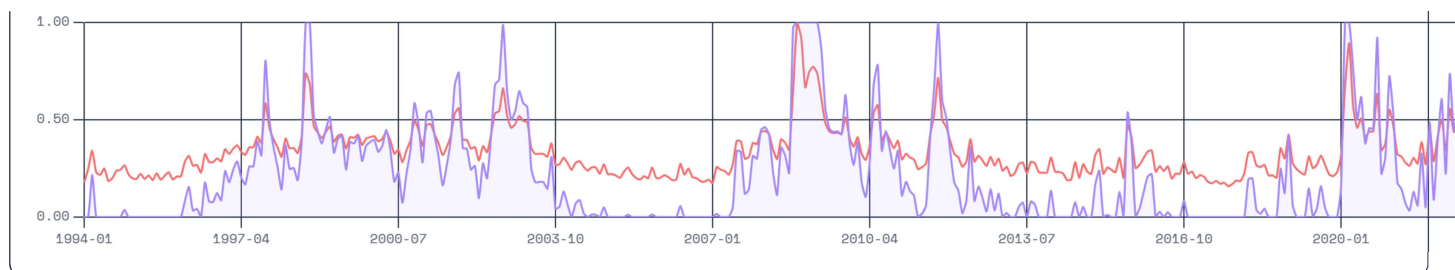
MONTHS SAVING TO RESERVE

344 months (VIX conserving)

PEAK RESERVE REACHED

\$4542.27





V3 Parameters: VIX floor = 15 (min invest \$80/month), VIX ceiling = 40 (max invest \$120/month). Linear interpolation between floor and ceiling. \$100/month contribution fixed. Reserve cannot go negative. No transaction costs. SPX index price only, no dividends. IRR uses exact dated cash flows, annualised via Brent's method.

V2 → V3 change: Binary 4-tier threshold rules replaced with continuous linear scaling. In v2, markets spent 88.4% of time in Low/Calm regimes where the reserve rarely deployed. V3 keeps the strategy always active regardless of regime distribution.